Economics and Business Administration
Cash Flow Statement — Exercises

Exercise 1)
Based on the balance sheet below, build the cash flow statement using the indirect method as presented in class.

BALANCE SHEET					
ASSETS	**Year x**	**Year x+1**	**LIABILITIES & EQUITY**	**Year x**	**Year x+1**
Cash and cash equivalents	9	325	Trade payables	-610	-650
Trade receivables (net)	430	520	Tax position (net)	-81	-123
Inventories	3,260	3,600	Post-employment benefit obligations (TFR)	-350	-293
CURRENT OPERATING ASSETS	**3,690**	**4,120**	**CURRENT OPERATING LIABILITIES**	**-1,041**	**-1,066**
Plant	320	460	Interest-free shareholder loans	-510	-510
Machinery	850	775	Current portion of bank loans	-1,090	-310
(Accumulated depreciation — Plant)	-300	-330	Medium/long-term bank loans	0	-1,000
(Accumulated depreciation — Machinery)	**-720**	**-730**	**FINANCIAL LIABILITIES**	**-1,600**	**-1,820**
Other receivables	70	0	Share capital	-110	-210
(Plant equipment payables)	0	-60	Reserves	-1,408	-1,238
NON-CURRENT OPERATING ASSETS	**220**	**115**	Net income for the period	120	-285
Agricultural land	120	59			
NON-CORE ASSETS	**120**	**59**	**EQUITY**	**-1,398**	**-1,733**
TOTAL ASSETS	**4,039**	**4,619**	**TOTAL LIABILITIES & EQUITY**	**-4,039**	**-4,619**

INCOME STATEMENT — Year X+1			
COSTS		**REVENUES**	
Opening inventories	3,260	Net sales	-15,750
Various operating purchases	12,920	Closing inventories	-3,600
Lease payments	1,587	Interest income	0
Labour costs	891	Gains on disposal	-25
Depreciation — Plant	30		
Depreciation — Machinery	80		
TFR provision	43		
Interest expenses	95		
Write-downs	61		
Income taxes	123		
Total costs	**19,090**	**Total revenues**	**-19,375**
Net income Year X+1	**285**		
TOTAL	**19,375**	**TOTAL**	**-19,375**

Information from the accounting records:

1. A plant was purchased.
2. Machinery was sold.
3. The "Other receivables" item refers to receivables arising from divestments carried out in Year X.
4. Following a change in the urban development plan, agricultural land no longer eligible for construction was written down.
5. The financial structure was restructured to shift towards medium/long-term financing.
6. A shareholder was bought out using available reserves.
7. A paid capital increase was carried out.
8. TFR was paid to resigning employees.

Exercise 2)

After calculating the following ratios:

- Free cash flow ratio
- Ability to pay obligation
- Cash profitability
- Earnings Quality Ratio

Comment on the financial position of the company, knowing that in Year X+2 new investments of 500 are planned.